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(ii) Outstanding expenses

Expenses which have been incurred in the accounting period but not paid till the end of the accounting period are called outstanding expenses. In other words, if certain benefits or services are received during the year but payment is not made for the services received and utilised, these are termed as outstanding expenses. Outstanding expense account is a representative personal account and expense account is a nominal account.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Concerned expense A/c	Dr.		xxx	
To Outstanding expense A/c				xxx
(Expense outstanding adjusted)				

Presentation in final accounts

In the Trading A/c or Profit and loss A/c	Amount outstanding is added to particular expense account in the trading account if it is direct expense and in the profit and loss account if it is an indirect expense.
In the Balance Sheet	Amount of outstanding expense is a current liability and is shown on the liabilities side of the balance sheet.

Tutorial note

1. If outstanding expenses account appears in the trial balance with credit balance, it means that journal entry has been made already for outstanding expenses. Hence, the outstanding expenses account will be shown only in the liabilities side of balance sheet. No adjustment is therefore necessary in expenses account as already expenses would have been adjusted.
2. At the beginning of the next accounting period the above entry is reversed to bring into account outstanding expenses at the beginning so that it is reduced from amount of expense of next year.

Example

For the year 2017, rent is payable @ ` 2,000 p.m. and during the year ` 20,000 is paid on account of rent.

Total rent for the year 2017 is ` 24,000 i.e., 2,000 p.m. x 12 months. The difference between total rent payable and actual rent paid ` 4,000 (i.e. ` 24,000 - ` 20,000) is outstanding rent. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2017	Rent A/c	Dr.		4,000	
Dec 31	To Outstanding rent A/c				4,000
	(Rent outstanding adjusted)				